

Table 11.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
5 (breakeven)	219 or 18%	35 or 18%	219 or 27%	19 or 9%
10	160 or 31%	31 or 33%	196 or 52%	30 or 24%
15	119 or 41%	24 or 45%	125 or 67%	39 or 43%
20	81 or 48%	28 or 59%	83 or 77%	25 or 55%
25	78 or 54%	22 or 70%	60 or 85%	27 or 68%
30	62 or 59%	10 or 75%	40 or 90%	16 or 76%
35	62 or 64%	9 or 80%	26 or 93%	13 or 82%
50	121 or 74%	19 or 89%	45 or 99%	28 or 96%
75	122 or 84%	10 or 94%	9 or 100%	5 or 99%
Over 75	191 or 100%	12 or 100%	1 or 100%	3 or 100%

Yearly position, performance. I sorted the breakout price into one of three bins. Upward breakouts show the best performance when the breakout price appears in the middle third of the yearly high–low price range. Downward breakouts favor the lowest third of the range.

Throwbacks and pullbacks. A throwback or pullback occurs about two-thirds of the time, and it takes 11 or 12 days to complete the trip back to the breakout price (on average).

In all cases, when a throwback or pullback occurs, performance suffers. To avoid a throwback or pullback, look for nearby support or resistance that is strong enough to turn price back. Good luck with that. I've not been able to predict whether a throwback or pullback will happen. I just assume they will and go from there. If they don't appear, I'm as happy as a kid with a bag full of candy on Halloween.

You might try looking for overhead resistance or underlying support within 5% to 11% away from the pattern (those percentages are averages of how far price travels in 6 days, according to the table).